

04 Financial products & customer needs

7 primary questions | Oldest to newest

2026 objectives: 1.2.2-1.2.4

4 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 April 2005 Q1	9 marks
CA1-P1 April 2006 Q1	4 marks
CA1-P1 April 2008 Q1	10 marks
CA1-P1 April 2014 Q5	13 marks
CA1-P1 September 2016 Q2	10 marks
CA1-P1 September 2018 Q7	22 marks
CP1-P1 April 2022 Q8	14 marks

CA1-P1 | April 2005 | Q1

Current topic | 9 marks total | Original PDF p2

Related: Ch 6.

- 1** A prospective home buyer has been offered the following two options to finance the capital sum for the purchase of a property:
- an “interest-only” loan and an endowment assurance
 - a repayment mortgage
- (i) Describe the cashflows under the two options. [6]
- (ii) (a) State the main disadvantage of the repayment mortgage option.
- (b) Suggest a way to address this disadvantage, describing its effect on the cashflows. [3]
- [Total 9]

CA1-P1 | April 2006 | Q1

Current topic | 4 marks total | Original PDF p2

Related: Ch 6.

- 1** A retired homeowner has no current debts but needs to release capital tied up within his main residence.

State two ways in which this could be achieved and describe the cashflows involved.
[4]

CA1-P1 | April 2008 | Q1

Current topic | 10 marks total | Original PDF p2

Related: Ch 6.

- 1** A life insurance company is considering offering an immediate annuity product. Rather than paying cash to purchase the annuity, the policyholder would give the company an interest in a residential property belonging to the policyholder.

The terms are that the policyholder would continue to live rent free in the property until his or her death, and meanwhile receive an annuity. On death, the property would belong to the life insurance company.

The annuity would be payable throughout life and could be either level or linked to an inflation index. It could be written on a single or joint life last survivor basis.

An elderly homeowner with no current mortgage wishes to release the equity in their home.

- (i) Describe the cashflows involved if the homeowner were to:
- (a) sell their home and move to a smaller, cheaper residence;
 - (b) take out this policy in respect of their existing home. [5]
- (ii) Discuss the disadvantages to the homeowner of taking out this policy, compared to selling their home and moving to a smaller, cheaper residence. [5]

[Total 10]

CA1-P1 | April 2014 | Q5

Current topic | 13 marks total | Original PDF p3

Related: Ch 5, Ch 26.

- 5** An individual has changed employer. The new employer offers their employees a choice of pension arrangements. The new employee can choose to join the defined benefit scheme or the defined contribution scheme.

Outline the factors the individual will need to consider before making their choice.

[13]

CA1-P1 | September 2016 | Q2

[Current topic](#) | [10 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

2 A 55 year old individual lives alone in a large property which, they intend to sell.

The proceeds of the sale are to be used in a combination of three ways:

- to assist with the purchase of a smaller property for the individual to live in
- to provide capital for each of the individual's two adult children to use as deposits to purchase their own homes
- to act as free capital for the individual's own use

(i) Set out the individual's likely financial needs. [6]

(ii) Assess whether the chosen strategy will help meet these needs. [4]

[Total 10]

CA1-P1 | September 2018 | Q7

Current topic | 22 marks total | Original PDF p4

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date. Related: Ch 26, Ch 30.

- 7** (i) Outline differences in the features of the following products, from the point of view of an individual arranging a mortgage in order to purchase a residential property:
- Interest only mortgage with an endowment assurance;
 - Repayment mortgage;
 - Interest only mortgage.

[6]

A large provider of financial services, ER, has decided to launch a product designed to allow individuals the opportunity to access capital tied up in their property.

The product features are:

- available to single homeowners aged over 60 who have no outstanding debt secured against their property;
- the homeowner sells the property to ER for a cash sum payable to the homeowner immediately;
- ER will then become responsible for all the issues associated with ownership;
- the homeowner will retain the right to continue to live in the property – in effect as a tenant but rent free – until they die. On death, ER will be free to do as it wishes with the property.

- (ii) Explain why the cash sum offered by the insurer, to an individual selling their property under this product, is likely to be considerably less than the current market value of the property. [4]

- (iii) Describe, for each of the above product features, the risks to ER that the product feature is trying to mitigate. [7]

ER is considering introducing a variation to the product. Instead of receiving a cash sum immediately, the homeowner can choose to receive an annuity payable until they die. The rate of increases to the annuity, and any death benefits payable to dependants, can be chosen by the homeowner from a range of options.

- (iv) Discuss why anti-selection may be an additional risk to ER, that would arise from this product variation, and ways that ER could manage that additional risk. [5]

[Total 22]

CP1-P1 | April 2022 | Q8

Current topic | 14 marks total | Original PDF p3

Related: Ch 26.

- 8** Insurance companies in a particular country used to offer products that covered the costs of nursing-home care for elderly people. The number of elderly people in nursing homes has increased but these products are no longer offered.
- (i) Suggest possible reasons why these products are no longer offered. [5]
 - (ii) Propose other ways an individual could fund their future nursing-home care needs. [3]
 - (iii) Describe the risks the individual will face for each of the proposals in part (ii). [6]
- [Total 14]